

RATHER THAN GIVE DOLES DURING COVID, MODI TREBLED GOVERNMENT CAPEX ON INFRASTRUCTURE AND PUSHED FOR RADICAL REFORM WHICH SAW INDIA EMERGE AS THE FASTEST GROWING MAJOR ECONOMY POST-COVID

superpowers—the US and Soviet Union.

Modi's troubles came a year into his second term, first in the form of a once-in-a-century pandemic that took millions of lives and triggered unprecedented worldwide economic chaos. Then, even as India and the world were battling Covid-19, China decided to launch major intrusions across the Line of Actual Control. The resultant clash would lead to soldiers getting killed in border conflict for the first time since the 1999 Kargil war. Just as Nehru was blamed for being naive about Chinese intentions in 1962, Modi faced flak for the Indian army's failure to notice the Chinese intrusions on the LAC till it was too late. Finally, just as Modi sought to bring a modicum of stability and growth in the economy, India and the world were rocked by Russia's invasion of Ukraine in February 2022, causing worldwide food and oil shortages and fuelling inflation.

What distinguished Modi 2.0 from 1.0 was his ability to tackle multiple black swan events and steer the country out of the multiple crises they threw the country into. The reason Modi was able to do so was owing to his trait of seeing opportunity in every difficulty rather than difficulty in every opportunity. Dr Pramod Kumar Mishra, the prime minister's principal secretary, recalls, "The pandemic was a once-in-a-lifetime event and no country was clear what the best response would be. There were too many uncertainties and unknowns. In addition, there was the war in Ukraine and the border threat from China. We were forced to go beyond the usual pathways and chart our own unique course. It involved taking great risks, as a wrong decision could lead to a major disaster."

The reticent Mishra, who has worked with Modi when he was Gujarat chief minister, says the prime minister handled the crisis methodically, exhibiting rock-like calm in the midst of major storms. "We analysed the whole situation thoroughly, ensuring that the prime minister had a high degree of clarity as to what India should do," says Mishra. "As important was the political will of the prime minister to take bold but tough decisions and to use the opportunity to go ahead with major reforms amid the polycrisis and put India back on the growth path."

BUCKING THE TREND

To deal with the Covid-19 pandemic, Modi took the daring decision to impose a total lockdown and refrain from doling out huge cash relief to help everyone tide over the crisis as leaders in other countries were doing. Battling criticism from several quarters for not providing enough monetary succour to his suffering countrymen, Modi opted instead for targeted stimulus to the deserving while pushing major reform to kickstart the economy. That judgement seems to have been correct in hindsight as the excess liquidity in other economies has pushed up inflation while India has been able to keep it within manageable levels.

To combat Covid and save lives, Modi concentrated on both the development and delivery of vaccines. Not only did it see over 950 million people in India get inoculated against the virus, the supply of Covid vaccines to other needy nations also won him plaudits internationally. Modi also launched the innovative Ayushman Bharat scheme that provides health insurance of up to Rs 5 lakh for below the poverty line families. He also speeded up the PM Awas Yojana to provide over 30 million houses to the rural and urban poor. As Vaishnaw says, "Prime Minister Modi has brought about a fundamental difference in the lives of poor people—permanent change is visible wherever you go in villages, whether in housing, toilets, gas connections, electricity and water—the basic necessities to make their lives more comfortable."

Modi has also focused on boosting his government's capital expenditure, taking it from Rs 3.35 lakh crore in 2019-20 to Rs 10 lakh crore in the current budget, or from 1.7 per cent of GDP before the pandemic to 3.3 per cent after it. The focus on infrastructure has been both in terms of speed and scale, whether in the construction of highways, rural roads, railways or renewable energy projects. To improve efficiency, provide better governance and avoid project duplication, Modi in October 2021 launched PM Gati Shakti, a national master plan for multimodal connectivity that consisted of a digital platform bringing together 16 ministries, including railways and highways. To enhance manufacturing,